

Economics

Course: CPA — Certified Public Accountant

Level: Foundation Level (CA14)

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Syllabus version: Based on the standard KASNEB CPA Foundation Level Economics syllabus topics (CA14) — basic microeconomics (demand, supply, elasticity, market structures) and basic macroeconomics (national income, inflation, unemployment, fiscal/monetary policy). Authored from general economics knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

Contents

1. What is economics? Scarcity, choice and opportunity cost
 2. Demand and supply
 3. Market equilibrium and price elasticity
 4. Market structures
 5. National income
 6. Inflation
 7. Unemployment
 8. Fiscal and monetary policy, basics
 9. Full worked question — equilibrium and elasticity
 10. Practice examination — KASNEB-style paper (original, not a past paper)
 11. Marking guide — model answers to the practice examination
 12. Exam technique and revision checklist
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1. What is economics? Scarcity, choice and opportunity cost

Economics is the study of how individuals, businesses and governments allocate scarce resources among competing, unlimited wants. Because resources are limited while wants are effectively unlimited, every choice involves an **opportunity cost** — the value of the next best alternative given up. **Microeconomics** studies individual consumers, firms and markets; **macroeconomics** studies the economy as a whole.

2. Demand and supply

The **law of demand**: as price rises, quantity demanded falls (all else equal), giving a downward-sloping demand curve. Non-price determinants of demand include income, tastes, prices of substitutes/complements, and expectations. The **law of supply**: as price rises, quantity supplied rises (all else equal), giving an upward-sloping supply curve. Non-price determinants of supply include input costs, technology, and the number of producers.

3. Market equilibrium and price elasticity

Equilibrium occurs where quantity demanded equals quantity supplied. A price above equilibrium creates a **surplus** (pushing price down); a price below equilibrium creates a **shortage** (pushing price up).

Price elasticity of demand (PED) = $\text{Percentage change in quantity demanded} \div \text{Percentage change in price}$. Demand is **elastic** if $|\text{PED}| > 1$ (quantity responds proportionally more than price), **inelastic** if $|\text{PED}| < 1$ (quantity responds proportionally less), and **unitary** if $|\text{PED}| = 1$.

4. Market structures

- **Perfect competition** — many small firms, identical products, easy entry/exit, firms are price takers.
 - **Monopoly** — a single firm, significant barriers to entry, firm is a price maker.
 - **Oligopoly** — a few large, interdependent firms.
 - **Monopolistic competition** — many firms with differentiated products, each having some limited pricing power.
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5. National income

Gross Domestic Product (GDP) — the total market value of all final goods and services produced within a country's borders in a given period — is measured via three broadly equivalent approaches: the **output approach** (value added by sector), the **income approach** (sum of incomes earned — wages, rent, interest, profit), and the **expenditure approach** (consumption + investment + government spending + net exports).

6. Inflation

Inflation is a sustained increase in the general price level, reducing money's purchasing power, commonly measured via a **consumer price index (CPI)** tracking a representative basket of goods and services relative to a base period. Persistent high inflation erodes real incomes and savings, and creates uncertainty that can discourage investment; very low or negative inflation (deflation) can also be problematic, potentially signalling weak demand in the economy.

7. Unemployment

- **Frictional unemployment** — short-term, arising from people between jobs or newly entering the labour force.
 - **Structural unemployment** — arising from a mismatch between workers' skills and the skills the economy currently demands.
 - **Cyclical unemployment** — arising from a general downturn in overall economic activity.
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8. Fiscal and monetary policy, basics

Fiscal policy — government use of spending and taxation to influence the economy (e.g. increasing government spending or cutting taxes to stimulate demand during a slowdown).

Monetary policy — typically managed by a central bank, using tools such as interest rates and money supply management to influence borrowing, spending, investment, and inflation (e.g. raising interest rates to cool an overheating, high-inflation economy).

9. Full worked question — equilibrium and elasticity

Scenario. The price of a good rises from KSh 80 to KSh 100, and quantity demanded falls from 600 units to 540 units.

Required: (a) Compute the price elasticity of demand. (b) State, with a reason, whether demand is elastic or inelastic. (c) Explain the implication for a firm considering this price increase.

Solution:

(a) $\% \Delta Q_d = (540 - 600) \div 600 \times 100 = -10\%$. $\% \Delta P = (100 - 80) \div 80 \times 100 = +25\%$. $PED = -10 \div 25 = -0.4$.

(b) $|PED| = 0.4 < 1$, so demand is **inelastic** over this range.

(c) Since demand is inelastic, the price increase raises total revenue (quantity fell proportionally less than the price rose), suggesting the increase was likely a reasonable move from a revenue standpoint, though customer goodwill and competitor response should also be considered.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CPA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CPA FOUNDATION LEVEL — ECONOMICS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Define "economics" and explain "opportunity cost" with one example. (8 marks)

(b) State the law of demand and the law of supply. (6 marks)

(c) Outline THREE non-price determinants of demand. (6 marks)

(Total: 20 marks)

QUESTION TWO

The price of a commodity rises from KSh 50 to KSh 60, and quantity demanded falls from 400 to 360 units.

- (a) Compute the price elasticity of demand. *(8 marks)*
 - (b) State, with a reason, whether demand is elastic or inelastic. *(4 marks)*
 - (c) Explain what happens in a market when price is set below equilibrium. *(8 marks)*
- (Total: 20 marks)*
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QUESTION THREE

- (a) Distinguish between perfect competition and monopoly. *(10 marks)*
 - (b) Distinguish between oligopoly and monopolistic competition. *(10 marks)*
- (Total: 20 marks)*
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QUESTION FOUR

- (a) Define GDP and outline the THREE approaches to measuring national income. *(10 marks)*
 - (b) Define inflation and explain how it is commonly measured. *(6 marks)*
 - (c) Outline ONE negative effect of persistent high inflation. *(4 marks)*
- (Total: 20 marks)*
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QUESTION FIVE

- (a) Distinguish between frictional, structural, and cyclical unemployment. *(12 marks)*
 - (b) Distinguish between fiscal policy and monetary policy, giving one example of each. *(8 marks)*
- (Total: 20 marks)*
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11. Marking guide — model answers to the practice examination

QUESTION ONE

- (a) *(8 marks)* — Economics is the study of how scarce resources are allocated among unlimited wants; opportunity cost is the value of the next best alternative foregone (e.g. studying instead of working an evening shift).
- (b) *(6 marks)* — Law of demand: price $\uparrow \rightarrow$ quantity demanded $\downarrow$. Law of supply: price $\uparrow \rightarrow$ quantity supplied $\uparrow$.
- (c) *(6 marks — 2 marks each)* — Income, tastes/preferences, prices of substitutes/complements (expectations also acceptable).

QUESTION TWO

(a) (8 marks) — $\% \Delta Q_d = (360 - 400) / 400 \times 100 = -10\%$. $\% \Delta P = (60 - 50) / 50 \times 100 = +20\%$.
 $PED = -10 / 20 = -0.5$.

(b) (4 marks) — $|PED| = 0.5 < 1$, so demand is **inelastic**.

(c) (8 marks) — A price below equilibrium creates a shortage (quantity demanded exceeds quantity supplied), which tends to push the price back up toward equilibrium.

QUESTION THREE

(a) (10 marks) — Perfect competition: many firms, identical products, no barriers to entry, price takers. Monopoly: single firm, significant barriers to entry, price maker.

(b) (10 marks) — Oligopoly: a few large, interdependent firms. Monopolistic competition: many firms with differentiated products, each with limited pricing power.

QUESTION FOUR

(a) (10 marks) — GDP is the total market value of all final goods/services produced within a country's borders in a period; approaches: output (value added by sector), income (sum of incomes earned), expenditure (consumption + investment + government spending + net exports).

(b) (6 marks) — Inflation is a sustained rise in the general price level, commonly measured via a consumer price index tracking a representative basket of goods/services against a base period.

(c) (4 marks) — It erodes the purchasing power of money and real incomes/savings (creates investment uncertainty also acceptable).

QUESTION FIVE

(a) (12 marks — 4 marks each) — Frictional: short-term, between jobs/new entrants. Structural: skills mismatch. Cyclical: general economic downturn.

(b) (8 marks) — Fiscal policy: government spending/taxation (e.g. increasing spending to stimulate demand). Monetary policy: central bank tools like interest rates (e.g. raising rates to curb inflation).

12. Exam technique and revision checklist

- Elasticity questions: always show the percentage-change workings for both price and quantity explicitly before dividing.
- Market-structure "distinguish" questions: use the same criteria (number of firms, barriers to entry, control over price) on both sides.

- National income questions: name all three approaches (output, income, expenditure) by name.
- Unemployment questions: pair each type with its specific cause, not a generic description.
- Fiscal vs monetary policy: fiscal = government (spending/tax); monetary = central bank (interest rates/money supply) — a very commonly confused distinction worth memorising precisely.

Quick revision — one line per topic:

1. Opportunity cost = value of the next best alternative foregone.
2. Law of demand: price $\uparrow$ $\rightarrow$ quantity demanded $\downarrow$. Law of supply: price $\uparrow$ $\rightarrow$ quantity supplied $\uparrow$.
3. PED = $\% \Delta$ quantity demanded $\div$ $\% \Delta$ price; elastic if $|PED| > 1$, inelastic if < 1 .
4. Market structures: perfect competition $\rightarrow$ monopolistic competition $\rightarrow$ oligopoly $\rightarrow$ monopoly.
5. GDP measured by output, income, or expenditure approach.
6. Inflation = sustained rise in general price level (measured via CPI).
7. Unemployment: frictional (job transition), structural (skills mismatch), cyclical (downturn).
8. Fiscal policy = government spending/tax; monetary policy = central bank interest rates/money supply.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.